THE NATIONAL COMPANY LAW TRIBUNAL COURT-V N DELHI
Company Petition (CAA) **24**/ND/2020
Connected with Company Application CA (CAA) 167/ND/2019

Under Section **230** to 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

Item 514 of 12.08.21

In the matter of Scheme of Amalgamation of

CAMP SMA Private Limited
F-88, Okhla Industrial Area, Phase-I, New Delhi

..... Petitioner No. 1/ Demerged Company

WITH

Sahi Exports Private Limited
F-88, Okhla Industrial Area, Phase-I, New Delhi

..... Petitioner No. 2/ Resulting Company

Order delivered on: ***28.09.2021***

CORAM:

SHRI ABNI RANJAN SINHA, HON'BLE MEMBER (J)
SHRI K.K. VOHRA, HON'BLE MEMBER (T)

Present:

For Petitioner	: Advs. Mr. Ravi Sharma, Mr. Khirendra Mohan Gupta.
For Income Tax	: Ms. Preeti Rai
For RD and OL	: Advs. Ms. Shankari Mishra (RD), Ms. Hemlata Rawat, Mr. Aayushmaan Vatsyayana (OL)

ORDER

Per: K.K. Vohra, Member (T)

1. This Joint petition has been filed by two Petitioner Companies under Sections 230 to 232 of the Companies Act, 2013 (the Act) read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for the purpose of the approval of the Scheme of Arrangement (Scheme) between Demerged Company and Resultant Company. The copy of the Scheme of Amalgamation has been placed on record (Pg 47).

2. The Demerged Company, Camp SMA Private Limited (Petitioner No. 1) (CIN: U722 00DL 2006 PTC 152821) was incorporated on 31.08.2006 as a Private Company limited by shares.

3. The Resultant Company, Shahi Exports Private Limited (Petitioner No. 2) (CIN: U181 01DL 2005 PTC 138730) was incorporated on 15.07.2005 as a Private Company limited by shares (pg 48).

4. The Demerged Company is engaged in business of Online and offline retail trading of readymade garments and multi chain coffee house etc. The objective of demerger is to segregate the Apparel trading business undertaking and re-align the organizational and business structure by resorting to specific focus on each business.

5. It is seen from the records that the First Motion application seeking convening / dispensation from convening the meetings of Shareholders and Creditors of the Companies was filed before this Court vide CA (CAA) No.167/ND/2019. Based on such joint application moved under Sections 230 to 232 of the Act, the meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of Demerged Company were dispensed with. The meeting of Equity Shareholders, Secured Creditors of Resultant Company were dispensed with and the meeting of Unsecured Creditors was convened on 27.12.19, vide order dated 18.11.19 passed by this Court (pg 260).

6. Thereafter, vide order dated 30.01.20, the Petitioner Companies were directed to carry out publication in the "Business Standard" English Delhi Edition as well as in "Business Standard" Hindi Delhi Edition. In addition to above, notices were directed to be served on the Regional Director (Northern Region) [RD], Registrar of Companies (ROC) (NCT of Delhi), Official Liquidator (OL) and Nodal Officer-DCIT (High Court Cell) of Income Tax Department (IT Dept) and to the other relevant sectoral regulators.

7. It is seen from the records that the Petitioner Companies have filed affidavit dated 19.10.20 affirming compliance of the order passed by the Tribunal dated 30.01.20. A perusal of the affidavit discloses that the petitioners have affected the newspaper publication in the "Business Standard" Delhi Edition as well as in "Business Standard" Hindi Delhi Edition on 05.03.2020 & 07.03.2020 (pg 17, 18 of affidavit). Further, the affidavit also discloses that copies of petition have been duly served to the RD, ROC, OL and IT Dept and in proof of the same, acknowledgements made by the respective offices have also been enclosed (pg 8-14, and 23-35 of affidavit).

8. RD had filed its original report dated 15.07.20, wherein it is stated that no inspection or inquiry has been conducted in respect of the Petitioner Companies (pg 36 of affidavit of Petitioner dated 21.10.20). During the hearing on 05.10.20, the Ld. Counsels for the Petitioner Companies and RD were present. This Bench had directed the Petitioner Companies as well as RD to give final response to the few queries raised by RD relating to business activity being demerged etc. The Petitioners submitted their affidavit dated 31.07.21 and enclosed the RD's report dated 30.07.21 with RD's affidavit (RD did not submit its final report with affidavit directly to this Tribunal). During the final hearing on 12.08.21, while perusing the affidavit dated 31.7.21, we observe that RD's final report provides for the issues raised by RD earlier and response given by the Petitioners to the same. Para 4 and 5 (pg 17 of affidavit 31.07.21) of the report of the final RD dated 30.07.21 is reproduced below:

4. That the petitioner company replied to the queries vide letter dated 31.07.2020 received on 04.08.2020. The reply of the petitioner is summarised as follows:

S. No.	Query	Reply of Company
1	As per the scheme of demerger, the demerged company shall transfer its Apparel Division to the resulting company. But as per the latest Balance Sheet at 31.03.2019, there is no such division, also the MOA is silent about persuing such activity by the Demerged Company. Also state the period from which the demerged company has followed the object of Apparel manufacturing trading / export	According to reply of the petitioner companies the note no. 28 of the balance sheet for FY 2018-19 represent the Segment reporting of the audited financial statement for the year ending 31.03.2019. As per the MOA of demerged company, main object clause states that to engage in the Business of wholesale distribution, retail trading and incidental activities including by way of e-commerce, internet portal and other retail channels

	along with the details of transaction thereof in the Fy 2019-20 and onwards.	available, across India and abroad and appointing online and offline franchises and providing all services in relation thereto. The Demerged company is carrying on the business of Apparel trading since 2014.
2.	The details of the assets and liabilities of the remaining undertaking as on the appointed date with post arrangement financial statement be provided since the scheme is silent about it.	As per the company reply to the details of the assets and liabilities of the remaining undertaking as on the appointed is given under Note 28-Segment Reporting of audited financial statements year ending 31.03.2019.
3.	Clarification regarding application of IND AS-103 in the matter since it is demerger, and the scheme is silent about involvement of "control" as stipulated in IND-AS-103	As evident from the financial statement and list of shareholders submitted along with the company petition, the petitioner companies are beneficially owned by the same individual either directly or indirectly through the trust. Thus, IND AS-103 is applicable.
4.	Details of Related Party Transaction (RPT) u/s-188 of the companies Act, 2013 as at31.03.2019	As per the Note no. 26 of the audited financial statement for the FY-2018-19 the demerged company had RPT with the Key Managerial personnel (KMP) of Rs.52690000 as unsecured loan taken and with the associates of Rs.72,72,562 as purchase of goods from associates. The details of RPT of the resultant company has been shown in Note

		No.31 of the audited Financial Statement of the FY2018-19.
5.	Details of the other recoverable in the Note -17 of the Balance Sheet i.e. short-term loans and advances for the FY-2017-18 and 2018-19	The breakup of the other recoverable is given below: -

Balance	FY 2018-19	Fy-2017-18
Interest income receivable	7183869	2328836
Interest bearing loan given	66700000	66700000
Other Loan & Advances	1994042	1994042

5. The reply by the petitioner companies on the observations made by the ROC is as follows: -

S.No.	Observation	Reply of Company
1.	The resultant company has not filed its Financial Statements and Annual Return for the FY-2018-19 which his in contravention of section 137(1)&92(4) of the Companies Act,2013.	The resultant company has furnished the annual return (Mgt-7) for the year ended 2019 as on 23.07.2020 vide SRN-R46908661 and financial statement for year ended 2019 (AOC-4 XBRL) as on 23.07.2020 vide SRN-R46902045.
2.	As per record, it is observed that the Demerged Company is a loss - making Company. It has eroded its net worth. As per segment report	Camp SMA P. Ltd. is engaged in the retail trading and running in-house cafes in the store based on the concept of retails store and cafes

	attached on Page no.116 with the financials of the Demerged Company, it is observed that the Demerged Company is transferring its unsecured liabilities of Rs.33,09,35,266 (i.e. advance received from shareholders) and the assets of Rs.13.10 crore to the Resulting Company. It appears that the only purpose of Scheme is to transfer major liabilities of Demerged Company to the Resultant Company.	under one roof. Demerged company purchases the readymade garment from the resultant company which is an export house and engaged in the manufacturing of garments and engaged in the B2B business only. However, the main purpose behind the demerger is to re-align the business structure by consolidating the manufacturing and trading business of apparel with the resultant company and engaged in B2B model as well as in B2C Model. Therefore, the Demerged Company shall transfer all assets and liabilities relating to the Demerged Company. Accordingly, the note no.28 of the audited financial statement for the FY 2018-19, the loan of INR 33 cr. is a specific borrowing for the demerged business undertaking and hence in compliance with the Section 2(19AA), the same is being transferred pursuant to demerger.
3	The statement of Apparel trading Business of assets and liabilities to be transferred from the demerged company is not attached and it appears that from segment that unsecured liabilities of Rs.33.09 crore is only passed as to resulting company.	The details of assets and liabilities proposed to be transferred is given under Note No. 28- Segment Reporting of the audited financials for the year ending 31.03.2019. The audited financial statements containing segment reporting is attached in company petition.

9. While perusing the RD's final Report dated 30.07.21, we observe that Para 6 (pg 21) clearly mentions that "the response given by the Petitioner Companies as stated above are found satisfactory and hence this Hon'ble Tribunal may consider approval of the Scheme of demerger ".

10. The IT Dept has filed its report dated 30.07.2020 in respect of Demerged Company wherein it is stated that compliance of Section 72A of the Income Tax Act 1961 needs to be ensured in view of the carry forward and set off of the accumulated losses and unabsorbed

depreciation accruing and relating to the operation of the apparel business from the appointed date onwards (para 23; pg 31 of affidavit of Petitioner dated 31.07.21).

11. Be that as it may, in order to protect the interest of the Revenue, it is clarified that there shall be no limitation on the power of the IT dept for recovery of pending IT dues, including imposition of penalties etc. as provided in law. In the Scheme [clause 6.4 at pg 65], it is specifically mentioned that all the taxes pending and payable by Demerged company with respect to Apparel Trading business Undertaking shall become liability of Resultant company from appointed date. The Petitioner Companies are directed to strictly comply with the provision of section 72A of Income Tax Act, 1961.

12. It is submitted by the Ld. Counsel for the Petitioner companies that as this is a case of demerger, the two businesses will be undertaken by two companies. There will not be any winding up or dissolution of companies; therefore, OL has not submitted any report

13. The certificates of Independent Auditor dated 16.09.19 (pg no 256-259) of both the Petitioner companies confirming that the accounting treatment contained in clause 8 of the Scheme is in compliance with applicable accounting standards notified under Section 133 of the Act, Rule 7 (1) of the Companies (Accounts) Rules, 2014 and other Generally Accepted Accounting Principles, have been placed on record vide Independent Auditors Certificate.

14. The appointed date of the Scheme is 01.04.2019 (pg 53).

15. It has also been affirmed in the petition that the Scheme is in the interest of the Demerged & Resultant Company including their directors, key managerial personnel, promoters, non-promoter shareholders, creditors, vendors, employees and all concerned (pg 18).

16. Members and creditors of the Petitioner companies have approved the Scheme. IT has filed their reports. RD has given final satisfactory report 30.07.2021 as mentioned in Para 9 above. Further, no objection has been received from any quarter against the Scheme. Thus, there appears to be no impediment in sanctioning the Scheme.

17. Consequently, **sanction is hereby granted to the Scheme** under Sections 230 to 232 of the Act.

18. The Petitioners shall, however, remain bound to comply with the statutory requirements in accordance with law.

19. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the Scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners

20. While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any compliance with any other requirement which may be specifically required under any law.

21. The Petitioner Companies shall file with the concerned RoC the certified copy of this Order within 30 days of the receipt of the Order.

22. The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Rules, 2016.

23. Thus, the Scheme stands sanctioned and CP (CAA)-24/ND/2020 & CA (CAA) 167/ND/2019 stands **disposed of** in the above terms.

24. Let copy of the order be served to the parties.

Sd/-

(K.K. VOHRA)
MEMBER (T)

Sd/-

(ABNI RANJAN KUMAR SINHA)
MEMBER (J)